

reasonably sound basis, as judged by former standards, had little difficulty in meeting bond interest. This did not hold true in the case of many holding companies with pyramided capital structures which had absorbed nearly every dollar of peak-year earnings for fixed charges and so had scarcely any margin available to meet a shrinkage in profits. The widespread difficulties of the utilities were due not to any weakness in the light and power *business*, but to the reckless extravagance of its financing methods. The losses of investors in public-utility bonds could for the most part have been avoided by the exercise of ordinary prudence in bond selection. Conversely, the unsound financing methods employed must eventually have resulted in individual collapses, even in the ordinary course of the business cycle. In consequence, the theory of investment in sound public-utility bonds appears in no sense to have been undermined by 1931–1933 experience.

2. *Stability of Railroad Earnings Overrated.* Turning to the railroads, we find a somewhat different situation. Here the fault appears to be that the stability of the transportation industry was overrated, so that investors were satisfied with a margin of protection which proved insufficient. It was not a matter of imprudently disregarding old established standards of safety, as in the case of the weaker utilities, but rather of being content with old standards when conditions called for more stringent requirements. Looking back, we can see that the failure of the carriers generally to increase their earnings with the great growth of the country since pre-war days was a sign of a weakened relative position, which called for a more cautious and exacting attitude by the investor. If he had required his railroad bonds to meet the same tests that he applied to industrial issues, he would have been compelled to confine his selection to a relatively few of the strongly situated lines.³ As it turned out, nearly all of these have been able to withstand the tremendous loss of traffic since 1929 without danger to their fixed charges. Whether or not this is a case of wisdom

³ If, for example, the investor had restricted his attention to bonds of roads which in the prosperous year 1928 covered their fixed charges $2\frac{1}{2}$ times or better, he would have confined his selections to bonds of: Atchison; Canadian Pacific; Chesapeake and Ohio; Chicago, Burlington and Quincy; Norfolk and Western; Pere Marquette; Reading; and Union Pacific. (With the exception of Pere Marquette, the bonds of these roads fared comparatively well in the depression. Note, however, that the foregoing test may be more stringent than the one we propose later on: *average earnings* = twice fixed charges.)